

double in 70 years, measured in today's money. If the outperformance is just two percentage points higher—at 3 percent—they will double in just over 23 years (again in today's money).

Doubling Time = 70/Yearly Growth Rate

There is an excellent rule of thumb for calculating the doubling time of anything. You take the number 70 and divide it by the yearly growth rate to give the number of years for something to double.

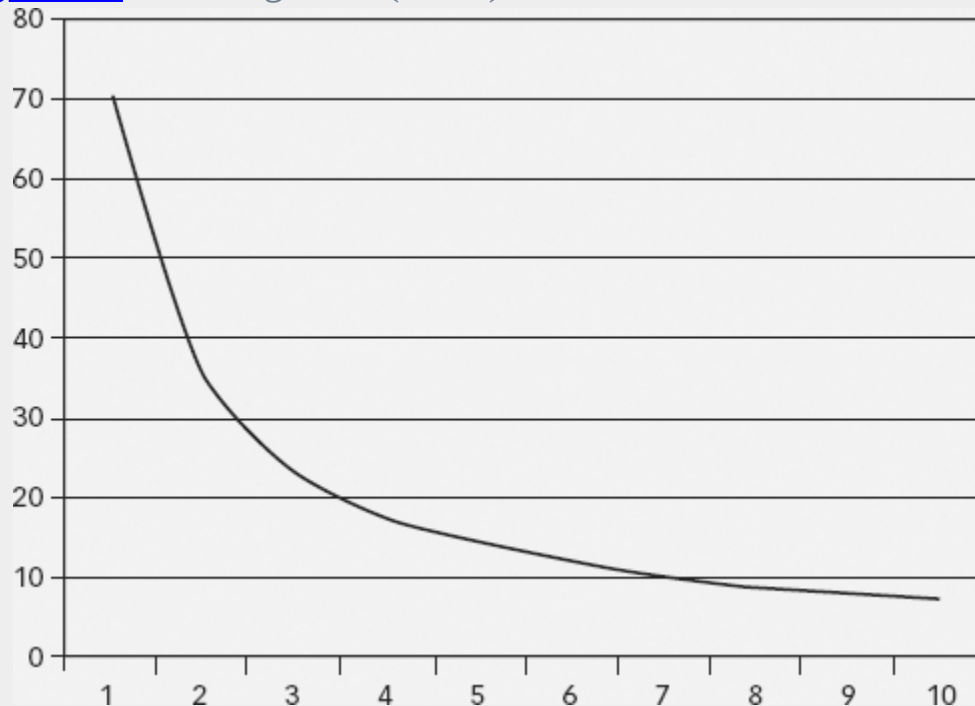
If you aren't good with numbers, you can use a memory trick to help you. By creating mental images, we help your brain retrieve information more easily. So you could imagine seven clocks all at 10 o'clock—combining the number 70 with the idea of time. Or you could think of your 10 fingers and the seven days of the week. Just try to think of something that works for you.

Conclusion: *To maximize long-term investment performance, you need to keep investment profits up and costs and taxes down. This allows the power of compounding to work in your favor.*

Reach for the Low-Hanging Fruit

[Figure 3.5](#) shows the same data for the first 10 yearly growth rates in the above table—from 1 percent to 10 percent per year. The horizontal axis shows the yearly percentage rates of growth, and the vertical axis shows the doubling times in years.

Figure 3.5 Doubling Time (Years)



Looking at it this way, something jumps right out. The relationship between growth rates and doubling times is not a straight line, but a curve. More growth always leads to